

Global Compensation, Overtime, and Incentive Bonus Plan

Policy No. HR-POL-105 · Version 3.1 · Effective January 1, 2026 · Owner: Global Total Rewards

1. Purpose and Total Rewards Philosophy

Cymbal Corp is committed to maintaining a transparent, performance-driven compensation structure that attracts, motivates, and retains top global talent. Our compensation framework is benchmarked annually against Radford and Mercer tech sector surveys targeting the 75th percentile for total target compensation.

2. Job Architecture & Salary Band Midpoints

All corporate roles are classified into standardized global job levels ranging from L3 to L8. Each level defines market-calibrated salary bands (Minimum, Midpoint, and Maximum):

Job Level	Standard Role Title	FLSA Exemption Status	Target STI Bonus %	RSU Equity Eligibility
Level 3 (L3)	Associate Specialist / Coordinator	Non-Exempt (Overtime Eligible)	5% Target STI	Discretionary Spot Grant
Level 4 (L4)	Mid-Level Professional / Analyst	Non-Exempt / Exempt by Role	10% Target STI	Standard Annual Grant
Level 5 (L5)	Senior Professional / Team Lead	Exempt (Salaried Professional)	15% Target STI	Key Contributor Equity
Level 6 (L6)	Staff Specialist / Manager	Exempt (Managerial / Tech Lead)	25% Target STI	Leadership Equity Plan
Level 7 (L7)	Principal / Senior Director	Exempt (Senior Management)	35% Target STI	Executive Equity Tier
Level 8 (L8)	Vice President / Function Head	Exempt (Executive Officer)	50% Target STI	Executive Long-Term Incentive

3. Overtime Policy for Non-Exempt Employees (FLSA)

Non-exempt employees working in excess of 40 active work hours in a defined 7-day payroll workweek are entitled to overtime pay calculated at **1.5× their regular hourly rate**. All overtime work must be pre-authorized by an immediate manager using **Form OT-101** in Workday. Mandatory meal breaks (minimum 30 minutes unpaid) must be logged for every shift extending beyond 5 consecutive hours.

4. Short-Term Incentive (STI) Annual Performance Bonus

The Short-Term Incentive (STI) plan awards annual cash bonuses linked directly to corporate EBITDA targets and individual achievement ratings. The payout formula is defined as:

Annual Bonus Payout = Base Salary × Target STI % × Individual Rating Factor (0.0× – 1.5×) × Company Financial Multiplier (0.5× – 1.3×)

Individual Rating	Performance Label	Individual Multiplier	Bonus Eligibility
Rating 5	Exceptional Impact	1.30× to 1.50× Target	Maximum Accelerated Pool
Rating 4	Exceeds Expectations	1.10× to 1.25× Target	Above Target Payout
Rating 3	Consistently Meets	1.00× (100% Target)	Target Payout Delivered
Rating 2	Developing / Inconsistent	0.00× to 0.50× Target	Discretionary Prorated Cap
Rating 1	Unsatisfactory Impact	0.00× (No Payout)	Ineligible for STI

Annual bonuses are disbursed in the first payroll cycle of March for employees actively employed prior to October 1 of the performance calendar year.

5. Long-Term Incentive (LTI) & Restricted Stock Units (RSUs)

Equity awards are granted to eligible employees at Level 5 and above. RSUs follow a standard **4-year vesting schedule with a 1-year cliff**: 25% of granted shares vest on the 12-month anniversary of the grant date, and the remaining 75% vests in equal quarterly increments of **6.25%** over the subsequent 36 months.

6. Payroll Administration and Form CMP-101

Salaries are paid on a bi-weekly cycle on alternating Fridays. Mandatory electronic direct deposit setup and tax withholding declarations must be completed through **Form CMP-101** in the employee self-service portal.

Cymbal Corp is a fictional company. This document is for demonstration purposes in generative search and AI agent evaluation, not legal compensation advice.